

WORLD TRADE ORGANIZATION

RESTRICTED

G/MA/W/7

6 August 1996

(96-3141)

Committee on Market Access

Original: English

DRAFT

REPORT OF THE MARKET ACCESS COMMITTEE

TO THE COUNCIL FOR TRADE IN GOODS

Section A - Background

1. The Committee on Market Access, established under Article IV, paragraph 7 of the WTO Agreement by the General Council at its meeting of 30 January 1995. Its mandate (WT/L/47) covers market issues related to tariffs and non-tariff measures not covered by any other WTO body, as well as matters related to the Integrated Data Base.

2. Mr. Jean Saint-Jacques (Canada) has been elected Chairman, and Mrs. Marie Gosset (Côte d'Ivoire), Vice-Chairperson of the Committee. Their mandates were renewed for 1996. Participation in the meetings of the Committee are open to all WTO Members, to Governments granted observer status by the General Council and to the following international organizations: FAO, IMF, ITCB, UNCTAD, WCO and the World Bank.

3. The Rules of Procedure for the Committee (based on the Rules of Procedure adopted by the Council for Trade in Goods and approved by the General Council on 31 July 1995) were adopted by the CTG on 1 December 1995 (WT/L/79).

4. The Committee held four formal meetings each in 1995 and in 1996 as well as a number of informal meetings.

Section B - Status report of the Committee's work

Tariff Matters

Implementation of the Uruguay Round results

The implementation of tariff reductions of concessions contained in the WTO Schedules on Goods began on 1 January 1995 and, according to the provisions of the Marrakesh Protocol, will be spread over six stages for agricultural products and five stages for other products, unless special provisions are indicated in the schedules. On 1 January 1996, the second stage of reduction took place. There is no special notification procedure for the implementation of those tariff reductions. The Committee on Market Access agreed that if problems arise in this respect, it would rely on reverse notifications.

Implementation of Harmonized System 1996 changes

5. The Harmonized Commodity Description and Coding System (Harmonized System) which is implemented by the World Customs Organization (WCO) is the customs nomenclature used by practically all WTO Members for their schedules of tariff concessions. Special procedures have been established for the introduction of changes to the Harmonized System into WTO schedules of concessions. In 1995, the WCO agreed to implement changes to 600 HS tariff positions, to enter into effect on 1 January 1996. These changes affect bound schedules of tariff concessions of a large number of WTO Members, which have had to implement, in keeping with their WCO obligations, the HS96 changes in their customs nomenclature on 1 January 1996, without having been able to carry out procedures related to the implementation of those changes for their WTO schedules. These Members had to request a waiver, in accordance with Article IX of the WTO Agreement, from their obligations under Article II

of GATT 1994. At its meeting of 13 December 1996 the General Council approved a Decision granting a waiver on a collective basis until 30 June 1996 to 33 Members, allowing them to implement the HS96 changes on 1 January of this year and to carry out the necessary procedures subsequently.

6. By June 1996, 19 Members had submitted the necessary documentation in connection with the introduction of the HS96 changes and reservations had been made by other Members with regard to most of the submissions. An extension of the waiver appeared therefore necessary. At the meeting of the Committee on Market Access on 13 June 1996 the Chairman proposed that - for practical reasons and because there was not always a meeting of the General Council in December -the period for extension of waivers in general, which was usually six months - from January to June and from July to December-, should be changed from May to October and from November to April of each year. The Committee approved this proposal and agreed that, in order to bridge the gap between the current situation and the new proposal, any extension of waivers should be to 30 April 1997. It was then decided to recommend that the waiver granted on a collective basis be exceptionally extended until 30 April 1997 for all Members that individually requested an extension or to be newly covered by the waiver. The complete required documentation will have to be submitted by the Members concerned by 30 September 1996 at the latest. The draft decisions related to the extension of the waivers were approved by the Council for Trade in Goods at its meeting of 5 July 1996 and adopted by the General Council at its meeting of 18 July 1996.

Waivers granted in connection with the introduction of the Harmonized System

7. The Committee examined the situation related to the transposition and renegotiation of schedules of certain Members which decided to adopt the Harmonized System in the years following its introduction on 1 January 1988. These Members were requested to provide every six months factual information in relation to their requests for extension of the waivers; the information is reproduced as an Annex to the semi-annual reports of the Committee to the Council for Trade in Goods (document G/MA/4).

While a number of Members have been able to complete this transposition in recent years, 11 Members have requested an extension of the waiver until 30 April 1997. These extensions were approved by the General Council on 18 July 1996. In addition, technical assistance is being provided to some Members to assist in the transposition of their pre-Uruguay Round schedules into the Harmonized System.

Establishment of consolidated schedules in a loose-leaf format

8. During the past two years, the Committee examined various issues related to the establishment of consolidated loose-leaf schedules. The issues concern particularly: the legal implications of the establishment of such schedules and their content (e.g. the coverage of unbound items; the treatment of *ad valorem*, specific and mixed duties; the stages of implementation; other duties and charges (ODCs)); the reflection of agriculture commitments; and the indication of Initial Negotiating Rights.

At its meeting of 22 November 1995, the Committee agreed to the establishment of consolidated loose-leaf schedules on the basis of proposals by the Chairman. The question of verification, however, remains to be solved. Several Members raised the possibility of creating a computer-assisted verification of the schedules. The Chairman is holding informal consultations with a view to solving the problem.

Non-tariff Matters

Notifications of quantitative restrictions

9. A Decision on Notification Procedures for Quantitative Restrictions (G/L/59) was adopted by the Council for Trade in Goods on 1 December 1995. In accordance with this Decision, Members were to submit to the Secretariat by 31 January 1996 complete notifications on the QRs they maintained. The situation with regard to those notifications is far from satisfactory as only 13 Members have submitted their notifications.

Reverse notification of non-tariff measures

10. At its meeting in December 1995, the Council for Trade in Goods also adopted a decision related to the reverse notification of non-tariff measures. No submission has been received up to now.

Integrated Data Base

11. In October 1995, the Committee examined several issues concerning the future of the Integrated Data Base and agreed that Members should make every effort to provide the necessary trade and tariff data in order to establish a reliable data base. However, to date very few countries have submitted the required information. The Committee also agreed that (1) the Secretariat prepare a simplified format for the IDB data submissions and develop PC applications for the preparation of data in capitals; (2) the Secretariat undertake a study on the "downsizing" of the IDB from a mainframe to a PC environment; (3) the IDB be made operational with basic information on tariffs and imports before broadening its scope to include non-tariff measures and other tapes of restrictions; and (4) access to the IDB could be given to international organizations. Since then, the Secretariat has prepared and circulated simplified formats for the submission and a PC software for the preparation of data in capitals. A study on the "downsizing" of the IDB from a mainframe to a PC environment will be initiated in September 1996.

Future work of the Committee

Over the next few months, the activities of the Committee will be focusing on the following issues:

- continue the supervision of the implementation of concessions relating to UR tariffs and non-tariff measures;

- implementation of HS96 changes in tariff schedules;
- review of Article XXVIII procedures of renegotiations;
- establishment of consolidated schedules of tariff concessions in a loose-leaf format.

C. Recommendations